

even early stage investment companies called angel investors. After reaching a critical mass in terms of customer acquisition or proving the viability of the product, more mature investors enter the picture with a bigger money chest called Venture Capital (VC). VC funding is done through stages or series like series A, B, C and so on. For mature companies, Private Equity (PE) comes into the picture. Any startup or company looking to raise funds has to approach multiple angel investors or VC's with their financial data, presentation, working prototype etc. There is no single point of dissemination. After the initial approach, there are again multiple meetings and presentations and finally a term sheet or agreement is drawn up that outlines terms like amount raised, equity shared etc. and funds are transferred. This is a long and arduous process.

Then crowdfunding broke this traditional mold. It allowed for any individual to invest in a company directly through a portal like Kickstarter. Building up on this model, Initial Coin Offerings (ICO) are akin to crowdfunding- anybody on the network can invest up to any amount.

An ICO can be centred around a cryptocurrency like Bitcoin or it can issue its own new cryptocurrency with its own blockchain. In the first scenario, the company issues a crypto-token on the Ethereum blockchain which can be purchased by the investors at a given rate like 10,000 tokens for investment of \$100. This rate is completely up to the company's discretion. These tokens can be used to typically purchase products or services the company offers. They are also pegged to an existing cryptocurrency like Bitcoin which are publicly traded. There are exchanges that are built for



At this stage we have barely scratched the surface of blockchain technology in financial services. How the landscape will change, only time will tell